

R-03 — Walkthrough

Airline Group Ltd · FY 2025-26 (1 April 2025 – 31 March 2026) · Record to Report · Intercompany balances agreed and eliminated

Control	Intercompany balances agreed and eliminated (R-03)
Sub-process	Close
Nature / frequency	Manual · Monthly
Risk addressed	Intercompany and consolidation entries misstate group results.
Walked on	2026-03-11
Performed by	A. Jain, Audit Senior
Attended by	Close lead, Financial Controller
Transaction walked	IC pair AGR-01 / AGR-07 · February 2026 · INR 1,204.8 lakh

What we did

We selected one intercompany pair from the period and followed it from the monthly balance confirmation through to elimination in the consolidation, observing the control operate and inspecting the evidence it leaves at each point. The pair walked was AGR-01 (Airline Group Ltd) against AGR-07 (Airline Ground Services Ltd) for February 2026, a receivable of INR 1,204.8 lakh.

What we observed, against each design check

1. Control addresses the stated risk and assertion.

The monthly agreement is the control the risk register names against R-52 — intercompany and consolidation entries misstating group results. We traced it to that risk and to the existence and accuracy assertions over intercompany balances. Each side confirms its own balance to the other before close, and the confirmation must address the difference, not merely report it, so a mismatch cannot be carried into the consolidation unexplained.

Conclusion: operating as designed

2. Control operates at sufficient precision.

The agreement is performed to a stated tolerance: a mismatch above INR 1.0 lakh must be investigated and resolved before the entity is released for consolidation, and a mismatch below it is logged and carried. That limit is well below the performance materiality set for the group, so a difference capable of distorting group results cannot be waved through as immaterial. The February pair agreed to INR 0.4 lakh, within tolerance, and the difference was an in-transit recharge cleared in March.

Conclusion: operating as designed

3. Performed as described for each sampled item — designed to happen, at per item.

The confirmation is signed by someone other than the person who maintains the intercompany ledger. Each entity's balance is prepared by its own accountant and countersigned by the Group Consolidation Manager, who holds no posting authority in either entity — so the agreement cannot be bypassed by one side simply asserting its own number.

Conclusion: operating as designed

4. Exceptions handled per policy — designed to happen, at per exception.

The operation of the control is evidenced and retained. The intercompany matrix, both confirmations and the elimination entry are held in the close pack for the month, and the consolidation system keeps an audit trail of every elimination posted and reversed. We inspected the pack for February and the matrix, the two signed confirmations and elimination entry ELIM-26-0042 were all present and retained.

Conclusion: operating as designed

Items inspected

Pair	Month	Entity A balance	Entity B balance	Difference	Within tolerance	Eliminated
AGR-01 / AGR-07	Feb 2026	1,204.8	1,204.4	0.4	Yes	ELIM-26-0042
AGR-01 / AGR-03	Feb 2026	688.2	688.2	—	Yes	ELIM-26-0043
AGR-03 / AGR-07	Feb 2026	95.6	94.9	0.7	Yes	ELIM-26-0044
AGR-01 / AGR-07	Jan 2026	1,118.0	1,118.0	—	Yes	ELIM-26-0031
AGR-01 / AGR-03	Jan 2026	702.9	701.6	1.3	No — resolved	ELIM-26-0032

Conclusion

The control is designed effectively to address the risk recorded against it. The walkthrough confirmed that each design check operates as described, that the control runs at a precision capable of catching a material error, that it is performed independently of the activity it controls, and that it leaves an audit trail sufficient for a reviewer to establish that it ran.

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